

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-28

WAY INTERGLOBAL NETWORK, LLC

COMPLAINANT,

v.

SHENZHEN UNIFELIX SCM LIMITED

RESPONDENT.

**COMPLAINANT'S RESPONSE BRIEF TO RESPONDENT SHENZHEN UNIFELIX
SCM LIMITED'S EXCEPTIONS TO THE INITIAL DECISION**

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INTRODUCTION

Complainant, Way Interglobal Network, LLC (“Way” or “Complainant”) responds to Respondent Shenzhen Unifelix SCM Limited’s Exceptions to the Initial Decision (“Respondent’s Brief” or “Exceptions”) as follows:

The Respondent’s Brief makes the following issues complaints, which are predominantly the same arguments made and rejected in the Initial Decision:

1. The Transport Contract was not a binding contract, was not an NVOCC service arrangement, and was void because it did not include essential terms.
2. The only agreements and obligations between the parties were under the bills of lading, which did not specify door to door delivery or payment terms, and Shenzhen Unifelix’s actions did not constitute a breach of the Shipping Act.
3. Shenzhen Unifelix’s actions were reasonable under the circumstances because it had to advance large amounts of money because of delayed payments by Way, and Way eventually paid without pointing to specific issues with the backup documentation to the invoices.

As will be discussed in more detail below, the Initial Decision correctly rejected these arguments properly reached its decision for the following reasons:

1. The Transport Contract was a valid binding contract between Way and Shenzhen Unifelix based on the understanding and behavior between the parties and the Commission has ancillary jurisdiction over a breach of the Transport Contract. *YSN Imports Inc. d/b/a/ Flame King, Complainant v. Feige “Peggy” Oberlander, U Shippers Group Inc., U Shippers Group Management Co., Inc.*, 2021 FMC LEXIS 104, *5.

2. As noted above, the Transport Contract was a binding contract between the parties. The house bills of lading did not change the binding terms of the Transport Contract. The willful refusal of Shenzhen Unifelix to complete the delivery of the subject 20 containers was a clear breach of the Shipping Act.
3. Shenzhen Unifelix's actions were unreasonable because it held the 20 Containers essentially hostage over payment disputes regarding unrelated containers, and Way repeatedly pointed to specific problems with Shenzhen Unifelix's invoices and documentation supporting the invoices.

As such, the Initial Decision should be upheld.

ARGUMENT

I. The Transport Contract was a Valid Contract.

Despite never raising the issue that it believed the Transport Contract was not a binding contract until its Response to Complainant's Brief, Shenzhen Unifelix now tries to explain that it actually did not agree that the Transport Contract was a binding contract in its Answer, but instead only agreed that the Transport Contract was a service contract. Shenzhen Unifelix ignores that it repeatedly referred to the Transport Contract as a contract in its exchanges with Way, and that it believed it was binding when it was attempting to enforce the Transport Contract's terms against Way. See, for example, the following email exchanges from Shenzhen Unifelix referring to Way's alleged breach of the contract or attempts to change the terms of the Transport Contract or to the Transport Contract as it rightfully is – a binding contract:

- June 14, 2022 "according to the contract" (CX 6-7)

- June 28, 2022 “[b]efore our cooperation, we have signed a contract, the payment term we get a deal is you should pay us the freight within 7 days after you receive the containers” (CX 6132)
- July 22, 2022 “as agreed in the contract, ” “our company requires to change the contract terms,” “sign the new contract” (CX 12-13)
- July 25, 2022 “the original contract,” “breach of contract,” “[p]lease see attachment the new contract” (CX 11)
- July 26, 2022 “the old contract” (CX 40)
- July 27, 2022 “you broked [sic] the contract firstly” CX 5593-5594)
- July 28, 2022 “breach of contract” (CX 36)
- August 3, 2022 “according to old contract” (CX 5864)
- September 16, 2022 “seriously violates the contract,” “according to the contract” (CX 5280)
- November 1, 2022 “Way Interglobal broke the contract first” (CX 7095)¹

First, at the top of page 6 of its Exceptions, Shenzhen Unifelix argues that it never admitted that it entered into a *binding contract*. This is patently incorrect. As noted in paragraph 8 of its Answer, Shenzhen Unifelix did not simply admit that it entered into some anomalous understanding. Rather, Shenzhen Unifelix in fact admitted that it entered into a “service contract” with Way. “Judicial admissions are formal admissions . . . which have the effect of withdrawing a fact from issue and dispensing wholly with the need for proof of the fact.” *Guidry v. Sheet Metal Workers Int’l Ass’n*, 10 F.3d 700, 716 (10th Cir. 1993) (internal quotation marks omitted)(cited by

¹ The Verified Complaint in this matter was served October 21, 2022.

Grynberg v. Bar S Servs., 527 F. App'x 736, 739 (10th Cir. 2013)(Court rejected a party's attempt to introduce evidence to contradict an earlier judicial admission.)

Next Shenzhen Unifelix argues that any such admission it may have made is not an admission of fact. Again, this is incorrect as a matter of law. The admission that the parties entered into a binding contract is an admission of fact.

[I]t is generally held that questions of contractual meaning or intent are questions of fact at trial. *Bourne v. Walt Disney Co.*, 68 F.3d 621, 629 (2d Cir. 1995). A statement of a party's understanding of the meaning or intent of a document is therefore a statement of fact, and where the question of the meaning of the document is at issue in the case, a request directed to another party seeking an admission or denial of a document's meaning or intent by that party as stated in the request relates to a statement of fact, and is authorized by Rule 36. *See Langer v. Monarch Life Insurance Co.*, 966 F.2d 786, 805 (3d Cir. 1992) (responses to Rule 36 requests containing statements of party's intent and understanding of disputed contract 'could be read as admissions of the facts of what was intended' by the agreement at issue) . . .

Booth Oil Site Admin. Grp. v. Saf.-Kleen Corp., 194 F.R.D. 76, 80 (W.D.N.Y. 2000). Being incorrect on both points as the binding nature of the contract between the parties completely unravels the remainder of Shenzhen Unifelix's arguments in its Exceptions.

Even if the Transport Contract does not meet the criteria as an NVOCC Service Arrangement, 46 CFR § 531.6, it is nonetheless a valid agreement over which the Commission has ancillary jurisdiction over a breach of the Transport Contract. "Relying on the principles stated in *Cargo One*, the Commission has held that jurisdiction over a complaint alleging violations of the Shipping Act exists even though a proceeding in another forum may have resolved some issues between the parties." *YSN Imports Inc. d/b/a/ Flame King, Complainant v. Feige "Peggy" Oberlander, U Shippers Group Inc., U Shippers Group Management Co., Inc.*, 2021 FMC LEXIS 104, *5.

Additionally, the Transport Contract establishes what is and what is not reasonable as to Shenzhen Unifelix's actions and inactions in providing its services to Way as an NVOCC. "The Supreme Court has held that the reasonableness standard [under the Shipping Act] requires that the 'charge levied [must be] reasonably related to the services rendered.' *Volkswagenwerk Aktiengesellschaft v. FMC*, 390 U.S. 261, 282, 19 L. Ed. 2d 1090, 88 S. Ct. 929 (1968); see also *Baton Rouge Marine Contractors, Inc. v. FMC*, 210 U.S. App. D.C. 393, 655 F.2d 1210 (D.C. Cir. 1981)." *Plaquemines Port, Harbor & Terminal Dist. v. Fed. Mar. Com.*, 267 U.S. App. D.C. 238, 838 F.2d 536, 547 (D.C. Cir. 1988) Accordingly, a valid contractual relationship existed between the parties that established the expectations and reasonable standards of performance in the provision of services by Shenzhen Unifelix as an NVOCC to its customer, Way.

II. The Refusal to Adhere to the Transport Contract was a Breach of the Shipping Act.

It is interesting that Shenzhen Unifelix attempts to justify its behavior based upon the claim that Way failed to adhere to the payment terms of the Transport Contract, but Shenzhen Unifelix claims that it had no obligation to adhere to the other terms of the Transport Contract. In its Brief, Shenzhen Unifelix repeatedly refers to the Transport Contract as "non-binding." Respondent's Brief, pp.8-9. As demonstrated above, and as determined in the Initial Decision, the Transport Contract expressed the binding understanding of the parties regarding the transportation services to be provided by Shenzhen Unifelix.

Contrary to Shenzhen Unifelix's arguments, the Initial Decision correctly determined that the Transport Contract was binding and unchanged by the house bills of lading. As a matter of law, the subsequently issued house bills of lading did not and could not change the binding terms of the Transport Contract.

In *Northern Pac. R.R. Co. v. American Trading Co.*, 195 U.S. 439, 49 L. Ed. 269, 25 S. Ct. 84 (1904) the Supreme Court agreed with

the Second Circuit's finding that a prior negotiated contract between a shipper and a carrier did not merge into a bill of lading with different terms and conditions issued when the shipment is delivered for transport. *See Northern Pac. R.R.*, 195 U.S. at 463-64; *aff'g Farmers' Loan & Trust Co. v. Northern Pac. R.R. Co.*, 120 F. 873, 878 (2d Cir. 1903) ("That the mere receipt of a bill of lading does not affect or alter a prior contract under which goods have been actually shipped and are in course of transit without actual consent to such change is well-settled."). . . . **In other words, mere receipt of a bill of lading cannot show acquiescence to the changed terms contained therein.**

Seagate Tech. LLC v. Dalian China Express Int'l Corp., 169 F. Supp. 2d 1146, 1156 (N.D. Cal. 2001)(emphasis added). Shenzhen Unifelix's arguments that the house bills of lading were the only binding contract between the parties is incorrect.

The Initial Decision properly noted that Shenzhen Unifelix had the obligation to provide drayage for the subject 20 containers to Way's facility. Initial Decision, p.40. As the Commission has recently determined such a failure to complete delivery is a refusal to deal. Section 41104(a)(10) prohibits a common carrier from unreasonably refusing to deal. 46 U.S.C. § 41104(a)(10). The Commission has recently determined that these actions are a clear violation of the Shipping Act. *OJ Commerce v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S*, Docket No. 21-11, 2023 WL3969857 (ALJ June 7, 2023). Accordingly, the Initial Decision correctly determined that Shenzhen Unifelix's actions in violation of the binding agreement between the parties were an unlawful refusal to deal.

III. Shenzhen Unifelix's Actions were Unreasonable.

Shenzhen Unifelix's alleged "perilous circumstances" (Respondent's Brief, pg. 12) and Way's justifiable questions and subsequent delays in payment did not make Shenzhen Unifelix's hostage negotiations regarding the 20 Containers reasonable.

Contrary to Shenzhen Unifelix’s assertions, and as accurately outlined in the Initial Decision, Way repeatedly pointed to specific problems with Shenzhen Unifelix’s invoices and documentation supporting the invoices. As outlined in Way’s briefs and the Initial Decision, beginning in early July 2022, Way began to realize that Shenzhen Unifelix was providing inaccurate invoicing and inflated claims of balances due, had to perform an extensive audit, which took time because of the lack of backup documentation for Respondent’s invoices. (Initial Decision, ¶21; CX 51; ¶19, Declaration of Andrew McKenna (CX 7386-7403)).

On July 26, 2022, Way asked for “invoice lists w/o any mistakes in detail as below”. (Initial Decision, ¶34). On July 28, 2023, Way advised that it was time-consuming to verify the availability of the containers since Shenzhen Unifelix would not provide documentation such as a bill of lading (CX 5591), and on July 26, 2022 Way requested supporting paperwork for invoices and “that the accuracy of the invoicing we have received continues to be a major issue, which delays your payment and creates significant confusion. I have attached a recent example where invoicing has been generated well in advance of any receipt of product.” (Initial Decision, ¶36; CX 5595). Both of these emails are examples of the issues that Way had with Shenzhen Unifelix’s invoices. The majority of the emails from Respondent contained spreadsheets without actual invoices, statements, or other documentation. (¶19, Declaration of Andrew McKenna (CX 7386-7403)).

However, Way paid Shenzhen Unifelix \$746,617 on July 21, 2022 and explained the payment was late because of inaccurate documentation from Shenzhen Unifelix. (Initial Decision, ¶26, 27; CX 46; CX 11). After the audit, Way paid Shenzhen Unifelix an additional \$983,780 on July 30, 2022 for 65 invoices (not part of the 20 Containers). (Initial Decision, ¶39; CX 6074-6076).

After the payments were made, Shenzhen Unifelix requested payment on additional containers. (Initial Decision, ¶40; CX 6073-74). On or about August 1, 2022, Way requested invoices and supporting documentation to support the charges. (Initial Decision, ¶41; CX 6073-6074). Way and Shenzhen Unifelix continued to be in dispute over the unrelated containers until or around September 9, 2022 when Way proposed to pay \$449,575 “under protest” after review of Shenzhen Unifelix’s invoices, in response to Shenzhen Unifelix’s request for \$465,270. (Initial Decision, ¶¶49, 50; CX 84; CX 82-83). Thus, all payments by Way were made after protest and specific complaints regarding the backup documentation to Shenzhen Unifelix’s invoicing.

As summarized in the Initial Decision, “not only did Shenzhen Unifelix repeatedly refuse to release the 20 Containers to obtain payment for other containers, it also repeatedly violated its NVOCC duties. On multiple occasions, Way paid an agreed upon amount and Shenzhen Unifelix accepted this payment, but then refused to honor a commitment it had made. For example, in July 2022, one day after receiving a payment of \$746,617, Shenzhen Unifelix reneged on its commitment to provide trucking, announcing “our company requires to change the contract terms, our company will no longer provide Trucking delivery service at the destination port.” FOF 27-28. Also, Shenzhen Unifelix accepted payment in full for the sea freight for the 20 Containers, but then refused to deliver the containers or release the pickup numbers until charges for other containers had been paid. FOF 27-28, 48-54, 57, 61. Thus, Shenzhen Unifelix negotiated resolution of the dispute in bad faith, promising to release containers upon payment and then failing to release them after payment was made.” Initial Decision at pg. 46. There is ample evidence to support the determination that Shenzhen Unifelix acted unreasonably and in direct intentional bad faith.

CONCLUSION

For all of the foregoing reasons, Way Interglobal Network, LLC, respectfully requests that the Initial Decision entered on April 19, 2024 be upheld and become the Final Decision of the Commission.

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CERTIFICATE OF SERVICE

I hereby certify that I have this 9th day of July, 2024, served the foregoing document upon Theodore H. Adkinson, Esq. (THA@tradeandcargo.com) by electronic mail, with a courtesy copy to judges@fmc.gov.



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